

Friendly Society ? Liability Valuation

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a non-directive friendly society.

1.2

In this Part, the following definitions shall apply:

defined percentage

means the percentage arrived at by taking (for all contracts of the same type as the contract in question for which an adjustment is made) the average of the percentages of the relevant capital sum under each such contract that represent the acquisition costs incurred which, after allowing for the effects of taxation, might reasonably be recovered from the premiums payable under the contract.

established surplus

means an excess of assets representing the whole or a particular part of the fund or funds maintained by the firm in respect of its long-term insurance business over the liabilities, or a particular part of the liabilities, of the firm attributable to that business as shown by an investigation to which Friendly Society ? Reporting 2 applies.

exposure

means:

1. (1) (in relation to assets), an amount determined in accordance with Friendly Society ? Asset Valuation 18 to 24;
2. (2) (in relation to a counterparty), an amount determined in accordance with Friendly Society ? Asset Valuation 25 to 27.

general insurance business liabilities

means liabilities of the friendly society which are attributable to its general insurance business.

linked assets

means the long-term insurance business assets of the friendly society which are, for the time being, identified in the records of the friendly society as being assets by reference to the value of which property-linked benefits are to be determined.

valuation date

in relation to an actuarial investigation, means the date to which the investigation relates.

variable interest investments

means investments other than _fixed interest securities_.

2

Long-Term and General Insurance Business

2.1

Subject to 2.2, the amount of liabilities of a _firm_ in respect of _long-term insurance business_ and _general insurance business_ and other lawful activities must be determined in accordance with generally accepted accounting practice or other generally accepted methods appropriate for _insurance business_.

2.2

In determining under 2.1 the amount of liabilities of a _firm_ , all contingent and prospective liabilities must be taken into account.

3

Provision for Adverse Changes

3.1

This Chapter does not apply to a contract to the extent that it relates to, or is for the purposes of the making of an investment in, or is in connection with the making of an investment in, a building which is to be occupied by the _firm_ and used by the _firm_ for the conduct of its business.

3.2

Subject to 3.1, this Chapter applies to an obligation:

1. (1) under a contract relating to investments of the kind mentioned in item B under the heading "Assets" in Part I of Schedule 2 to _Accounts Regulations_ (whether such contract constitutes an asset or liability of the _firm_);
2. (2) undertaken for the purposes of, or in connection with the making of, investments of the kind mentioned in (1); or
3. (3) under a contract providing for the purchase, sale or exchange of currency.

3.3

A _firm_ which has or may have (following the exercise of any right by the _firm_ or any other party) an obligation referred to in 3.2, to deliver assets or make a payment must:

1. (1) at all times identify the assets held by it which it considers to be the most suitable to cover such obligation; and
2. (2) make prudent provision for the effect on the amount of its excess assets of all reasonably foreseeable adverse variations between the value of the assets identified and the value of the assets which it is or may be obliged to deliver or the amount of the payment which it is or may be obliged to make.

3.4

For the purposes of 3.3, the ?amount of its excess assets? is the difference between the aggregate value of its assets (other than _linked assets_ to the extent that they are held to match _property-linked liabilities_) determined in accordance with Friendly Society ? Asset Valuation and the amount of its liabilities (other than _property-linked liabilities_ or liabilities for which provision is made in accordance with this Chapter).

4

Provision for Affiliated Companies

4.1

Except to the extent that provision for the deficit has been made (whether in the calculation of *_surplus assets_* or otherwise) in another *_affiliated company_* the value of whose *_shares_* is taken to be the value of its *_surplus assets_* under Friendly Society ? Asset Valuation 5.1 or 5.2 (but only to the extent of the *_firm's_* *_proportional share_* of that *_undertaking_*), a *_firm_* must make provision in respect of a *_regulated affiliated company_* :

(1) where the *_affiliated company_* is also a *_subsidiary_* of the *_firm_* , for the whole of any *_solvency deficit_* ; and

(2) in any other case, for the *_firm's_* *_proportional share_* of any such deficit.

4.2

For the purposes of 4.1, the identification and valuation of assets of a *_regulated affiliated company_* , available to cover liabilities and any capital requirement imposed by any relevant provisions of the *_PRA_* Rulebook or *_FCA Handbook_* , must be determined in accordance with Friendly Society ? Asset Valuation 5.4.

5

General Insurance Business Liabilities

5.1

The amount of *_insurance liabilities_* which are *_general insurance business liabilities_* must be determined in accordance with the regulations set out in Part VI of Schedule 6 to the *_Accounts Regulations_*.

6

Long-Term Insurance Business Liabilities

6.1

In accordance with 6.2 to 6.4, the determination of the amount of *_long-term insurance liabilities_* (other than liabilities which have fallen due for payment before the *_valuation date_*) must be made in accordance with generally accepted actuarial principles and have due regard to the reasonable expectations of *_policyholders_* and make proper provision for all liabilities on prudent assumptions that include appropriate margins for adverse deviation.

6.2

The determination referred to in 6.1 must take account of all prospective liabilities as determined by the policy conditions for each existing contract, taking credit for *_premiums_* payable after the *_valuation date_*.

6.3

Without prejudice to the generality of 6.1, the amount of the *_long-term insurance liabilities_* must be determined in compliance with 7 to 16 and must take into account at least the following factors:

(1) all guaranteed benefits, including guaranteed surrender values;

(2) declared bonuses to which *_policyholders_* are already contractually entitled;

- (3) all options available to the _policyholders_ under the terms of the contract;
- (4) discretionary charges and deductions;
- (5) expenses, including commissions; and
- (6) any rights under contracts of reinsurance in respect of _long-term insurance business_.

6.4

The determination referred to in 6.1 must take into account the nature and term of the assets representing those liabilities and the value placed upon them and must include prudent provision against the effects of possible future changes in the value of the assets on:

- (1) the ability of the _firm_ to meet its obligations arising under contracts for _long-term insurance business_ as they arise; and
- (2) the adequacy of the assets to meet the liabilities as determined in accordance with 7 to 16.

7

Method of Calculation

7.1

Subject to 7.2, 7.3 and 7.4, the amount of the _long-term insurance liability_ must be determined for each contract by a prospective calculation.

7.2

A retrospective calculation may only be applied to determine the liabilities where a prospective method cannot be applied to a particular type of contract or benefit, or where it can be demonstrated that the resulting amount of liabilities would be no lower than would be required by a prudent prospective calculation.

7.3

Appropriate approximations or generalisations may only be made where they are likely to provide the same, or a higher, result than a determination made in accordance with 7.1.

7.4

Where necessary, additional amounts must be set aside on an aggregated basis for general risks which are not specific to individual contracts.

7.5

The method of calculation of the amount of the liabilities and the assumptions used must not be subject to discontinuities from year to year arising from arbitrary changes and must recognise the distribution of profits in an appropriate way over the duration of each policy.

7.6

The liabilities for contracts under which the _policyholder_ is eligible to participate in any _established surplus_ must have regard to the level of the _premiums_ under the contracts, to the assets held in respect of those liabilities, and to the custom and practice of the _firm_ in the manner and timing of the distribution of profits or the granting of discretionary additions, as the case may be.

8

Avoidance of Future Valuation Strain

8.1

The amount of the liability determined in respect of a group of contracts must not be less than such amount as, if the assumptions adopted for the valuation were to remain unaltered and were fulfilled in practice, would enable liabilities similarly determined at all times in the future to be covered from resources arising solely from the contracts and the assets covering the amount of the liability determined at the current valuation.

9

Valuation of Future Premiums

9.1

Where further specified premiums are payable by the policyholder under a contract (not being a linked long-term contract of insurance) under which the policyholder is eligible to participate in any established surplus and benefits (other than benefits arising from a distribution of surplus) are determined from the outset in relation to the total premiums payable thereunder, then, subject to 9.4 and 10:

1. (1) where the premiums under the contract are at a uniform rate throughout the period for which they are payable, the premiums to be valued must not be greater than such level premiums as, if payable for the same period as the actual premiums under the contract and calculated according to the rates of interest and rates of mortality or disability which are to be employed in calculating the liability under the contract, would have been sufficient at the outset to provide for the benefits under the contract according to the contingencies upon which they are payable, exclusive of any additions for profits, expenses or other charges;
2. (2) where the premiums under the contract are not at a uniform rate throughout the period for which they are payable, the premiums to be valued must not be greater than such premiums as would be determined on the principles set out in (1) modified as appropriate to take account of the variations in the premiums payable by the policyholder in each year,

save that a premium to be valued must in no year be greater than the amount of the premium payable by the policyholders.

9.2

Where the terms of the contract have changed since the contract was first made (the terms of the contract being taken to change, for the purposes of this rule, if the change is indicated in an endorsement on the policy but not if a new policy is issued), then, for the purposes of 9.1 one of the following assumptions must be made, namely that;

1. (1) the change from the date it occurred was provided for in the contract when it was made;
2. (2) the terms of the contract are those which apply from the date of the change except that a single premium is payable, at the date of the change, of an amount equal to the liability under the policy immediately before the change, calculated on a basis consistent with this Part and with the premiums actually payable from the date of the change; or
3. (3) the contract is in two parts, the first of which is for the benefits purchased by the actual premiums payable from the date of the change under the firm's scales of premiums at that date, and the second of which is for all other benefits under the policy for which no premiums are payable after that date.

9.3

Where under a contract (not being a linked long-term contract of insurance) the policyholder is eligible to participate

in any _established surplus_ ; and

(1) each _premium_ paid increases the benefits (other than benefits arising from a distribution of surplus) provided under the contract; or

(2) the amount of a _premium_ payable in future is not determinable until it comes to be paid,

future _premiums_ and the corresponding liability may be left out of account so long as adequate provision is made against any risk that the increase in the liabilities of the _firm_ resulting from the payment of future _premiums_ might exceed the amount of the _premiums_.

9.4

An alternative valuation method to that described in 9.1 to 9.3 may be used where it can be demonstrated that the alternative method results in reserves no less, in aggregate, than would result from use of the method described in 9.1 to 9.3.

10

Acquisition Expenses

10.1

In order to take account of acquisition expenses, the maximum annual _premium_ to be valued under 9 may, subject to 10.2, be increased by an amount not greater than the equivalent, taken over the whole period of _premium_ payments and calculated according to the rates of interest and rates of mortality or disability employed in valuing the contract, of 3.5% (or the _defined percentage_ , if it is lower than 3.5%) of the _relevant capital sum_ under the contract.

10.2

The increase permitted by 10.1 must be subject to the limitation that the amount of a future _premium_ valued must not in any event be greater than the amount of the _premium_ actually payable by the _policyholder_.

11

Rates of Interest

11.1

The rates of interest to be used in calculating the present value of future payments by or to a _firm_ must be no greater than the rates of interest determined from a prudent assessment of the yields on existing assets attributed to the _long-term insurance business_ and, to the extent appropriate, the yields which it is expected will be obtained on sums to be invested in the future.

11.2

For the purposes of 11.1, the assumed yield on an asset attributed to the _long-term insurance business_ , before any adjustment to take account of the effect of taxation, must not exceed the yield on that asset calculated in accordance with 11.3 to 11.13, reduced by 2.5% of that yield.

11.3

For the purpose of calculating the yield on an asset:

1. (1) the asset must be valued in accordance with the Friendly Society ? Asset Valuation Part of the _PRA_ Rulebook,

excluding any provision under which assets may be taken at lower book values for the purposes of an investigation to which Friendly Society ? Reporting 2 applies; and

2. (2) the future income from the asset required to be taken into account (whether interest, dividends or repayment of capital) must be reduced by a proportion corresponding to such part of any excess _exposure_ to assets of that description, calculated in accordance with Friendly Society ? Asset Valuation 22.2, as may reasonably be attributed to such assets.

11.4

For _fixed interest securities_ the yield on an asset, subject to 11.13, must be that annual rate of interest which, if used to calculate the present value of future payments of interest before the deduction of tax and the present value of repayments of capital, would result in the sum of those amounts being equal to the value of the asset.

11.5

1. (1) For _variable interest investments_ that are equity _shares_ (other than those within 11.6) or land, the yield on an asset must, subject to 11.13, be the ratio to the value of the asset of the income before deduction of tax which would be received in the period of twelve _months_ following the _valuation date_ on the assumption that the asset will be held throughout that period and that the factors which affect income will remain unchanged.

2. (2) Account must be taken of any changes in the factors referred to in (1) known to have occurred by the _valuation date_ and in particular:

1. (a) any known changes in the rental income from property or in dividends on equity _shares_ ;
2. (b) any forecast changes in dividends which have been publicly announced by the _valuation date_ ;
3. (c) the effect of any alterations in capital structure; and
4. (d) the value (at the most recent date for which it is known at the _valuation date_) of any determinant of the amount of any future interest payment, such value being deemed to remain unaltered for all subsequent dates.

11.6

For _variable interest investments_ that are equity _shares_ in _bodies corporate_ drawing up accounts in accordance with legislation implementing the _Accounts Directives_ or in accordance with the International Accounting Standards Committee accounting standards or US generally accepted accounting practice, the yield on an asset must, subject to 11.14, be the ratio to the value of the asset of:

1. (1) $A + B$; or
2. (2) 2 times A,

whichever is lower, where A = the income which would be received if it were calculated in accordance with 11.5, and B = half the excess (if any) of the relevant amount over A, but B must not be less than zero.

11.7

For the purposes of 11.6, the ?relevant amount? in relation to equity _shares_ is the _issuer?s_ profits after taxation from its ordinary activities for the most recent financial year ending on or before the _valuation date_ which is reported in accounts in accordance with 11.8 which are publicly available, in so far as attributable to those equity _shares_ , taking account of the effect of any alterations in capital structure.

11.8

For the purposes of 11.7, the _issuer?s_ profits after taxation from its ordinary activities for the relevant financial year must be derived from accounts drawn up in accordance with legislation implementing the _Accounts Directives_ or, if accounts are not so drawn up, from accounts drawn up in accordance with International Accounting Standards Committee accounting standards or US generally accepted accounting practice.

11.9

Where 11.6 applies, and a _undertaking?s_ accounting period is longer or shorter than a year, the amount of profits or losses for that period must be annualised, and the annualised figure must be used to calculate the yield.

11.10

If the requirements in 11.7 and 11.8 are not, or cannot be, met, then the relevant amount is zero.

11.11

Subject to 11.12, for _variable interest investments_ other than equity _shares_ or land, the yield on an asset must, subject to 11.13, be that annual rate of interest which, if used to calculate the present value of future payments of interest (before deduction of tax), and the present value of repayments of capital, where applicable, would result in the sum of these amounts being equal to the value of the asset, on the assumption that:

1. (1) the value of any determinant of the amount of the next interest rate payment and capital repayment made during the following 12 _months_ will be the value of that determinant at the most recent date for which it is known at the _valuation date_;
2. (2) the amount of future interest payments and capital repayments will take account, where appropriate, of:
 1. (a) the right of either party to have the investment repaid, and
 2. (b) an assumed yield on other comparable investments made in the future not exceeding an amount determined in accordance with 11.15 to 11.17; and
3. (3) indices and all other factors which affect future income payments or capital repayment will remain unchanged after the _valuation date_.

11.12

For investments in _collective investment schemes_ given a value as an asset in accordance with Friendly Society ? Asset Valuation 13, the yield may be determined as the weighted average of the yields (as determined by this Chapter) on each of the investments held by the _collective investment scheme_.

11.13

In calculating the yield on an asset under this Chapter:

1. (1) for an asset other than equity _shares_ or land:
 1. (a) a prudent adjustment must be made to exclude that part of the yield estimated to represent compensation for the risk that the income from the asset might not be maintained or that capital repayments might not be received as they fall due; and
 2. (b) in making that adjustment, regard must be had wherever possible to the yields on risk-free investments of a similar term in the same currency;
2. (2) for equity _shares_ or land, adjustments to yields must be made as appropriate to exclude that part, if any, of the yield from each category of assets of a similar nature, type and degree of risk that is needed to compensate for the risk that the aggregate income from such category of assets, taking one year with another, might not be maintained.

11.14

Notwithstanding 11.13(2), for equity _shares_ within 11.6, adjustments to yields must be made as appropriate to exclude that part, if any, of the yield from each category of assets of a similar nature, type and degree of risk that is needed to compensate for the risk that the aggregate profits earned by a _undertaking_ might not be maintained.

11.15

To the extent that it is necessary to make an assumption about the yields which will be obtained on sums to be invested in future, the yield must be determined in accordance with 11.16 and 11.17.

11.16

Where the liabilities are denominated in _UK_ sterling, the yield assumed, before any adjustments to take account of the effect of taxation;

1. (1) on any investment to be made more than three years after the _valuation date_ , must not exceed the lowest of:
 1. (a) the long-term gilt yield current on the _valuation date_ ,
 2. (b) 3% per annum, increased by two-thirds of the excess, if any, of the long-term gilt yield current on the _valuation date_ over 3% per annum, or
 3. (c) 6.5% per annum, where "the long-term gilt yield" means the annualised equivalent of the 15 year yield for United Kingdom Government _fixed interest securities_ jointly compiled by the Financial Times, the Institute of Actuaries and the Faculty of Actuaries; and
2. (2) on any investment to be made at any time not more than three years after the _valuation date_ must not exceed the assumed yield determined under 11.2 adjusted linearly over the said three years to the yield determined in accordance with (1).

11.17

Where the liabilities are denominated in currencies other than _UK_ sterling, the yield must be determined on assumptions that are as prudent as those made under 11.16.

11.18

1. (1) In no case must a rate of interest determined for the purposes of 11.1 exceed the adjusted overall yield on assets calculated as the weighted average of the reduced yields on the individual assets arrived at under 11.2.
2. (2) In calculating the weighted averaged referred to in (1):
 1. (a) the weight given to each investment must be its value as an asset determined in accordance with the Friendly Society ? Asset Valuation, except where assets may be taken at lower book values for the purposes of any investigation to which Friendly Society ? Reporting 2 applies; and
 2. (b) except in relation to the rate of interest used in valuing payments of _property linked benefits_ , both the yield and the value of any _linked assets_ must be omitted from the calculation.

12

Rates of Mortality and Disability

12.1

A _firm_ must determine the amount of the liability in respect of any category of contract, where relevant, on the basis of prudent rates of mortality and disability and any other decrement that take into account:

1. (1) where the _policyholder_ is an individual, the state in which he has his habitual residence; and
2. (2) where the _policyholder_ is not an individual, the state in which the establishment of the _policyholder_ to which the commitment covered by the contract relates is situated.

13

Expenses

13.1

In accordance with 13.2, a firm's provision for expenses, whether implicit or explicit, must not be less than the amount required, on prudent assumptions, to meet the total net cost (after taking account of the effect of taxation) that would be likely to be incurred in fulfilling contracts if the firm were to cease to transact new business twelve months after the valuation date.

13.2

The provision mentioned in 13.1 must have regard to the firm's actual expenses in the last twelve months before the valuation date and the effects of inflation on future expenses on prudent assumptions as to the future rates of increase in prices and earnings.

14

Options

14.1

A firm must make provision on prudent assumptions to cover any increase in liabilities caused by policyholders exercising options under their contracts.

14.2

Where a contract includes an option whereby the policyholder may secure a guaranteed cash payment within twelve months following the valuation date, the provision for that option must be such as to ensure that the value placed on the contract is not less than the amount required to provide for the payments that would have to be made if the option were exercised.

14.3

Where a contract includes an option whereby the policyholder may secure a cash payment but 14.2 does not apply, the provision for that option must be such as to ensure that, if the assumptions adopted for the valuation of the contract are fulfilled in practice:

1. (1) the resulting value is not less than the amount required to provide for the payment which would have to be made if the option were exercised; and
2. (2) the payment when it falls due is covered from resources arising solely from the contract and from the assets covering the amount of the liability determined at the current valuation.

14.4

For the purposes of 14.3 the amount of a cash payment secured by the exercise of an option is assumed to be:

1. (1) in the case of an accumulating with-profits policy, the lower of:
 1. (a) the amount which would reasonably be expected to be paid if the option were exercised, having regard to the representations of the firm; and
 2. (b) the amount in (a), disregarding all discretionary adjustments; and
2. (2) in the case of any other policy to which this Chapter applies, the amount which would reasonably be expected to be paid if the option were exercised, having regard to the representations of the firm, without taking into account any expectations regarding future distributions of profits or the granting of discretionary additions in respect of an established surplus or in anticipation of such additions.

15

Contracts Not to Be Treated as Assets

15.1

A _firm_ must not treat any _contract of long-term insurance_ as an asset.

16

Profits from Voluntary Discontinuance

16.1

A _firm_ must not make allowance in the valuation for the voluntary discontinuance of any _contract of insurance_ if the amount of the liability so determined would thereby be reduced.